

Assume the quantity equation

$$MV = PY,$$

with constant velocity in both countries: $V = 5$.

Countries A and B have the same real output in period 0:

$$Y_0^A = Y_0^B = 100.$$

Their money supplies are:

$$M_0^A = 200, \quad M_0^B = 300.$$

Next year, real output grows by 4% in both countries, so

$$g_Y^A = g_Y^B = 4\%.$$

Money growth differs:

$$g_M^A = 6\%, \quad g_M^B = 10\%.$$

1. Compute the initial price levels P_0^A and P_0^B .
2. Which country has the higher price level in period 0, and why?
3. Compute inflation in each country.
4. Which country has higher inflation, and by how many percentage points?
5. In the classical view, what happens to real output when money growth is higher?